Indian National Congress and the Young Afghan Party were jointly encouraging the Pashtunistan idea. It would also provide India with a land border with the USSR.

On 11 February 1948, Lt. Gen. Douglas Gracey took over as Pakistan Army Chief from Gen. Frank Messervy. He was faced with India's spring offensive expected in March 1948, which the British viewed as a decisive thrust against Pakistan's jugular. Both the British generals, almost comically, orchestrated the adoption of mutually defensive positions. In his memoirs, Lt. Gen. Loftus Tottenham, who was a Division Commander in the Pakistan Army during this war, stated that the Kashmir war was strange in that it was fought under several restrictions. The prevalent attitude was to hit the Indians hard but not too hard, otherwise, they knew that there would be all kinds of unsavoury consequences. The same view prevailed on the other side. It was a shadow boxing competition with both boxers fighting while on a leash.

In early May 1948, the British High Commissioner in Pakistan, Laurence Grafftey-Smith informed Whitehall of the presence of Pakistan Army troops in Kashmir.[14] Of greater concern was his revelation that two British officers in the Pakistan Army, Lt. Col. Milne and Capt. Skellon, were operating in Kashmir with Gen. Gracey's approval.[15] He also reported that three Pakistani battalions were present in Kashmir and the opposing Indian commanders were aware of this and were continuing to avoid a direct engagement. Intriguingly, Gen. Gracey had personally informed Gen. Bucher about the officers being present.[16] Whitehall worried that this could prove to be a big embarrassment, if the information leaked out. However, one month later, in June 1948, the presence of Pakistani troops in Kashmir was evident beyond any doubt.[17] Two dominions of the empire were at war with each other and there were British officers pitted against one another.

British Foreign Secretary, Aneurin Bevan decided not to take any action. Their defence secretary and the chiefs of staff committee also kept mum.[18] The reason the British were playing possum was very clear—if India asked British officers to step down, the Pakistan Army would be